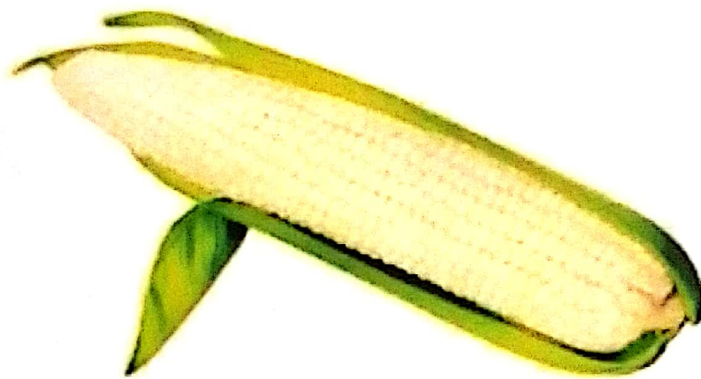




MINISTRY OF LOCAL GOVERNMENT

LUSANGAZI TOWN COUNCIL



ANNUAL FINANCIAL REPORT FOR THE YEAR

ENDED 31st DECEMBER 2024

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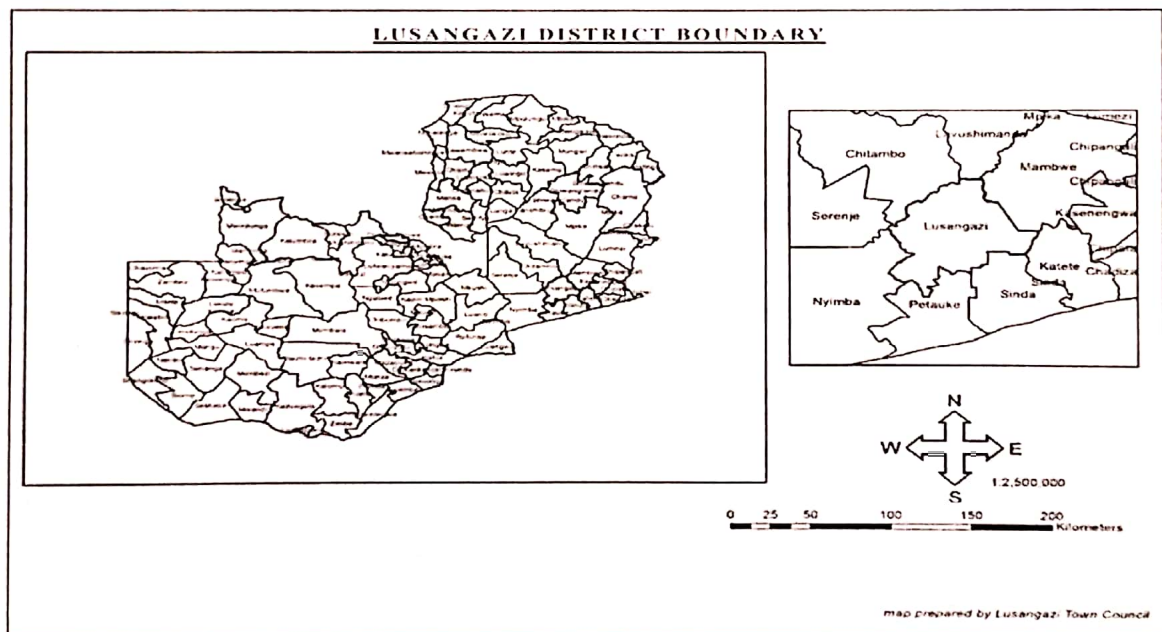
REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December 2024 which disclose the sources, utilization and balances of cash for Lusangazi Town Council during the period under review.

Background and Location of the Council

The Council is located at Village 18 in Masili, Lusangazi District, Eastern Province of Zambia along Ukwimi Road. Lusangazi was declared a district in April, 2018 under Statutory Instrument no. 26 of 2018. The district was created in order for Government to take development closer to the Local people, through the delivery of Services such Schools, Hospitals, provision of water and Sanitation and Other Services. Lusangazi was a constituency under Petauke district, whose name was derived from the Lusangazi River which means meanders through the district. The district was formally known as Ukwimi Refuge Settlement, the refugees came from different Countries namely Angola, Mozambique and Rwanda.

The District is among the fifteen districts in the Eastern Province of Zambia. It is approximately 470 km east of Zambia's capital city - Lusaka. It has a surface area of 5,252 kilometer squares (km²) and lies between 13°30' latitude and 14°45' longitude, 31° west and 32° east. The District shares boundaries with Petauke in the south and with Sinda and Mambwe in the north-east, as well as Serenje and Chitambo in the north-west, Nyimba in the Southwest and Lavushimanda in the North. The district has one constituency called Msanzala which has eleven wards namely; Mateyo-Mzeka, Chingolo, Singozi, Lutwazi, Nyakawise, Chikowa, Mawanda, Lusangazi, Ukwimi, Mudonsa and Chisangu respectively. Below is the image showing the district boundary.



REPORT OF THE COUNCIL

Population

The District has a population of 116,064 (2010 CSO projection) with a growth rate of 2.5%. Lusangazi is a rural district with approximately 98% of the population living in the rural parts of the district while the other 2% live in the urban part that has access to electricity. The average annual population growth rate is 2.5% which is below the provincial annual population rate of 2.6%. Lusangazi has a youthful population with the age group between 15-34 years being 30%. The population density is 36.6 persons per square kilometre (Central Statistical Office, 2012).

Economic Activities

The District being typically rural and the main commercial activity is agriculture which includes Farming and Livestock rearing. However, the district accommodates several Game ranches for small scale tourism activities. There are also several small-scale mining activities within Lusangazi ward which enhances the social economic activities of the local people and non-local people. Livelihood is also supported by small scale trading. The developmental prospects for Lusangazi district include Granite Mining, Gold Panning, Lime Plant, Wind/ Solar energy and Tourism activities.

Traditional Leadership

Lusangazi has two (2) Chiefdoms namely Sandwe and Nyamphande. Sandwe Chiefdom covers the North-western part of the district and houses the administrative centre at Village 18 in Masili. The Chiefdom is home to the Nsenga Speaking people and has six wards: Lusangazi, Ukwimi, Mawanda, Mudosa, Chikowa, and Chisangu.

The Nyamphande Chiefdom is on the south eastern side of the district and shares the boarders with Petauke, nyimba and Serenje districts. The Chiefdom is home to the Nsenga people, a distinctive dialect of Chinsenga. It consists of the following wards: Mateyo-Mzeka, Chingolo, Singozi, Lutwazi, Nyakawise

The address of the registered office of Lusangazi Town Council (LTC) is as follows:

The Civic Centre

P O Box 560151

Ukwimi Road

LUSANGAZI

REPORT OF THE COUNCIL

Composition of the Council

Lusangazi Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and incorporated under Cap 281 of 1991 of the Laws of Zambia. As a Local Authority, the Lusangazi Council administers the Lusangazi District.

From January to December 2022, the Council was composed of an elected chairperson, 11 councillors from eleven (11) wards and Two (2) chiefs as provided for under Article 153 of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The current Council is composed of an elected Chairperson and eleven (11) Councillors from the eleven (11) wards. Number of wards increased from 5 wards to 11 wards after the movement of District boundaries in Nyamphande area, the current Council was elected to office on 21 August 2021 to serve a five-year term up to 2026. The vice chairperson was elected from among the councillors in 2021 for a period of two and half years and not re-elected. However, another councillor assumed office for the final two and half years on 12th February 2024.

The Councilors who held office during the year 2024 were:

Composition of the Council

S/N	NAME	GENDER	POSITION	WARD
1	Blackson Tembo	Male	Chairperson	Not applicable
2	Cosmas Mwanza	Male	Vice Chairperson	Mateyo Mzeka
3	Nason Chirwa	Male	Councillor	Chisangu
4	John Phiri	Male	Councillor	Ukwimi
5	Nkhata G. Salulani	Male	Councillor	Mawanda
6	Martin Tembo	Male	Councillor	Lusangazi
7	Anna Njobvu M	Female	Councillor	Lutwazi
8	Enos Manda	Male	Councillor	Singonzi
9	Stephen T.,K Phiri	Male	Councillor	Mdonsa
10	Jacob Zulu	Male	Councillor	Chingolo
11	Henry Lungu	Male	Councillor	Chikowa
12	Geoffrey Daka	Male	Councillor	Nyakawise

The district had one (1) elected Member of Parliament, who held Office during the year under review. The district has one constituency namely Msanzala Constituency. The Member of Parliament that held office during the year was:

Period	NAME	GENDER	CONSTITUENCY
01/08/2021	Hon. Elias Daka	Male	Msanzala

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Mike Tembo was the District Commissioner for Lusangazi District.

The Council Secretariat

The Secretariat of Lusangazi Town Council was headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission. The Council Secretary was assisted by Five (5) Chief Officers responsible for Finance, Planning, Works, Human Resource and Administration and two (2) units namely; Procurement and Internal Audit.

REPORT OF THE COUNCIL

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No.2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2024	2023
	Kwacha	Kwacha
Cash Receipts	39,857,372	37,349,006
Payments	56,481,500	26,680,028
Increase/decrease in Cash and Cash Equivalents	<u>(16,624,128)</u>	<u>10,668,978</u>

Key Policies Adopted During the Year

The Council did not adopt any policy during the year ended 31st December 2024:

Related Party Transactions

There were no related party transactions during the financial year ended 31st December 2024.

Property, Plant and Equipment

The council spent K26,566,217 on Property Plant and Equipment. No disposals were done during the period under review.

Intangible Assets

No intangible assets were purchased or disposed of during the year ended 31st December 2024.

Employees

The Council had 67 employees at the beginning of the year and 67 at the end of the year. The total amount spent on employees' remuneration and welfare during the year was K7,841,218.

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year ended 31st December 2024 did not incur any cost towards the sponsoring of various sporting activities.

REPORT OF THE COUNCIL

Corporate Social Responsibility

The Council did not make any donations towards the support of socially responsible causes during the year under review

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

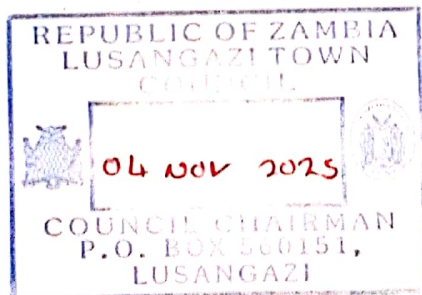
By order of the Council

Signature

Name..... *Berechew S. Semad*

Position: Council Chairperson

Date:



STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lusangazi Town Council is responsible for preparing the financial statements for the year ended 31st December 2024 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 8 to 11.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No. 1 of 2018 and Local Authorities Accounting Policies Amendments (LAAPs) of November 2022.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lusangazi Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Lusangazi Town Council for the financial year ended 31st December 2024.

Signed on behalf of the Council on 4 Nov 2025 by:

Name..... BENKEW. S. ICMR

Signature:

Position: Council Chairman

Name..... ICMR SIKANI

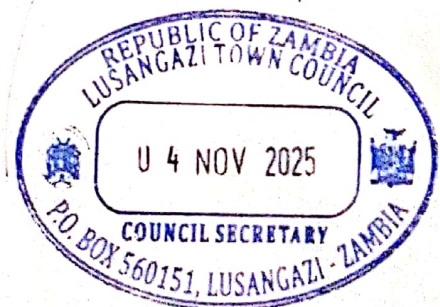
Signature:

Position: Council Secretary

Name: Lusanga. Cmbula

Signature:

Position: Director Finance





REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

INDEPENDENT AUDITOR'S REPORT

**STAND No.7951
HAILE SELASSIE AVENUE,
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA**

**E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771**

To: The Minister – Ministry of Local Government and Rural Development (MLGRD)

Report on the Audit of the Financial Statements for Lusangazi Town Council for the Financial Year Ended 31st December 2024

Opinion

I have audited the financial statements of the Lusangazi Town Council for the financial year ended 31st December 2024 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) and a summary of significant accounting policies and other explanatory information.

In my opinion, the accompanying financial statements of Lusangazi Town Council present fairly, in all material respects, its Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) and balances for the year ended 31st December 2024 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the Financial Statements section of my report. I am independent of Lusangazi Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements. Key audit matters are selected from the matters communicated to those charged with governance but are not intended to represent all matters that were discussed with them.

However, I have determined that there are no key audit matters to communicate.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No.2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Those charged with governance are responsible for overseeing Lusangazi Town Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Lusangazi Town Council's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on Lusangazi Town Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, the going concern of Lusangazi Town Council is dependent on the government policy decision.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.



REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

In communicating with those charged with governance, I also determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my audit report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Lusangazi Town Council is required, under Section 45 of the Local Government Act No. 2 of 2019 to prepare a Statement of Comprehensive Income and a Statement of Financial Position. However, the Council prepared the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) using Cash Basis IPSAS in line with the LAAPS

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE

ACTING AUDITOR GENERAL
OFFICE OF THE AUDITOR GENERAL

DATE: 07/11/2025

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2024

	Note	2024 Kwacha	2023 Kwacha
RECEIPTS			
Local taxes	2	9,438	6,858
Fees and Charges	3	400,911	366,885
Licences	4	15,750	42,060
Levies	5	108,113	110,472
Permits	6	24,940	42,947
Local Government Equalisation Fund	7	9,635,700	9,098,382
Constituency Development Fund	8	13,262,029	27,261,470
Other Grants	9	3,191,422	200,000
Borrowings	10	-	-
Commercial Venture	11	-	-
Sector Grants (Devolved Functions)	12	13,059,034	-
Other Receipts	13	150,036	219,932
TOTAL RECEIPTS		39,857,371	37,349,006
PAYMENTS			
Personnel Emoluments	14	7,841,218	6,245,127
Use of goods and services	15	10,938,286	3,243,210
Financial Charges	16	-	-
Social benefits	17	7,041,408	4,777,861
Non-financial assets acquisition	18	26,566,217	10,200,387
Financial Assets	19	3,938,485	2,132,360
Loan Repayments	20	-	-
Other payments	21	155,886	81,083
TOTAL PAYMENTS		56,481,500	26,680,028
Increase/(decrease) in Cash		(16,624,129)	10,668,978
Foreign Exchange Losses	22	-	-
Cash at beginning of the year	23	32,455,993	21,787,015
Cash at the end of the year	24	15,831,864	32,455,993

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Signature.....
Name:.....
Position: Council Chairperson

Signature.....
Name:.....
Position: Council Secretary

Signature.....
Name:.....
Position: Director Finance



STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR ENDED 31ST DECEMBER 2024

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	47,454	-	47,454	9,438	20%	(38,017)	-80%
Fees and Charges	904,925	-	904,925	400,911	44%	(504,014)	-56%
Licences	31,640	-	31,640	15,750	50%	(15,890)	-50%
Levies	204,857	-	204,857	108,113	53%	(96,744)	-47%
Permits	54,980	-	54,980	24,940	45%	(30,040)	-55%
Local Government Equalisation Fund	10,709,760	-	10,709,760	9,635,700	90%	(1,074,060)	-10%
Constituency Development Fund	30,635,642	-	30,635,642	13,262,029	43%	(17,373,613)	-57%
Other Grants	4,120,000	-	4,120,000	3,191,422	77%	(928,578)	-23%
Borrowings	-	-	-	-	0%	-	0%
Commercial Venture	-	-	-	-	0%	-	0%
Sector Grant (Devolved Functions)	6,625,323	-	6,625,323	13,059,034	197%	6,433,711	97%
Other Receipts	90,000	-	90,000	150,036	167%	60,036	67%
TOTAL RECEIPTS	53,424,581		53,424,581	39,857,372	75%	(13,567,209)	-25%
PAYMENTS							
Personnel Emoluments	9,559,926	-	9,559,926	7,841,218	82%	1,718,708	18%
Use of goods and services	9,120,385	-	9,120,385	10,938,286	120%	(1,817,901)	-20%
Financial Charges	-	-	-	-	0%	-	0%
Social benefits	8,149,081	-	8,149,081	7,041,408	86%	1,107,673	14%
Non-financial assets acquisition	22,732,726	-	22,732,726	26,566,217	117%	(3,833,491)	-17%
Financial Assets	3,492,463	-	3,492,463	3,938,485	113%	(446,022)	0%
Loan Repayments	-	-	-	-	0%	-	0%
Other payments	370,000	-	370,000	155,886	42%	214,114	58%
TOTAL PAYMENTS	53,424,581	-	53,424,581	56,481,500	106%	(3,056,919)	-6%

The composition of budget adjustments and explanations of major variances are provided in note 23

Signature.....
Position: Council Chairperson

Signature.....
Position: Council Secretary

Signature.....
Position: Director Finance



**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2024**

RECEIPTS

Funding	7(a)	9,635,700	9,098,382
TOTAL RECEIPTS		9,635,700	9,098,382

PAYMENTS

Operational Expenditure Payments:	7(b)		
Salaries and Wages		7,841,218	6,245,127
Terminal Benefits		-	-
Utility bills		19,500	16,667
Service Provision		341,226	218,962
Goods and Services		1,395,069	265,687
Administrative Costs		-	546,104
Other Costs		-	-
Sub-Total		9,597,013	7,292,547
Capital Expenditure Payments:	7(c)		
Infrastructure Development		-	-
Rehabilitation Works		-	-
Asset Acquisition		754,789	962,958
Other Costs(Borehole)		-	-
Sub-Total		754,789	962,958
TOTAL PAYMENTS		10,351,802	8,255,505
Increase/(decrease) in cash		(716,102)	842,877
Foreign Exchange Losses		-	-
Cash at beginning of the year		1,979,665	1,136,788
Cash at the end of the year		1,263,564	1,979,665

Note 7 explains the composition and other details relating to the various elements included in this Statement.

Signature.....
Position: Council Chairperson

Signature.....
Position: Council Secretary

Signature.....
Position: Director Finance



**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER 2024**

		2024 Kwacha	2023 Kwacha
RECEIPTS			
Funding	8a	12,303,899	27,261,470
Other sources	8b	390,925	-
Other receipts	8c	567,205	178,884
TOTAL RECEIPTS		13,262,029	27,440,354
PAYMENTS			
Infrastructure Development	8d	8,536,560	6,753,552
Rehabilitation Works & Upgrades	8e	1,338,078	620,868
Asset Acquisitions	8f	15,669,213	1,279,896
Rural Electrification	8g	-	-
Social Benefits	8h	1,972,000	2,058,408
Loans	8i	3,938,485	2,132,360
Secondary Boarding Schools and Skills Developer	8j	5,069,408	2,719,453
Administrative Costs	8k	2,762,964	1,387,586
Disaster Contingency	8l	267,576	583,112
TOTAL PAYMENTS		39,554,284	17,535,237
Increase/(decrease) in Cash		(26,292,255)	9,905,117
Cash at beginning of the year		30,306,234	20,401,117
Cash at the end of the year		4,013,979	30,306,234

Note 8 explains the composition and other details relating to the various elements included in this Statement.

Signature.....
Name: BRACILSON S. GOMBO

Position: Council Chairperson

Signature.....
Name: REMBRO SIKANDI

Position: Council Secretary

Signature.....
Name: LUSITWAT CHIBULI

Position: Director Finance



**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE ZDSP (CAPITAL GRANT) FOR
YEAR ENDED 31ST DECEMBER 2024**

		2024 Kwacha	2023 Kwacha
RECEIPTS			
Funding	9(a)	2,694,737	-
Other Receipts	9(b)	-	-
TOTAL RECEIPTS		2,694,737	-
PAYMENTS			
Goods and Services		326,667	-
Non-financial Asset Acquisition		-	-
Infrastructure Development		-	-
Rehabilitation Works		-	-
TOTAL PAYMENTS		326,667	-
Increase/(decrease) in cash		2,368,070	-
Cash at beginning of the year		-	-
Cash at the end of the year		2,368,070	-

Note 9b explains the composition and other details relating to the various elements included in this Statement.

Note: Included in the Capital projects Account balance is the balance of K2,368,070 for ZDSP.

Signature.....
Name: Jonathan S. Simbo

Position: Council Chairperson

Signature.....
Name: Sambo Simbo

Position: Council Secretary

Signature.....
Name: Lusansa Chigul

Position: Director Finance



STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE SECTOR GRANT (DEVOLVED FUNCTION) FOR YEAR ENDED 31ST DECEMBER 2024

		2024 Kwacha	2023 Kwacha
RECEIPTS			
Funding	12(a)	3,390,955	-
Other Receipts	12(b)	9,668,079	-
TOTAL RECEIPTS		13,059,034	-
PAYMENTS			
Goods and Services	12(c)	5,149,175	-
Non-financial Asset Acquisition	12(d)	-	-
Infrastructure Development	12(e)	-	-
Rehabilitation Works	12(f)	-	-
TOTAL PAYMENTS		5,149,175	-
Increase/(decrease) in cash		7,909,859	-
Cash at beginning of the year		-	-
Cash at the end of the year		7,909,859	-

Signature.....

Name: BRADON S. GEMBO

Position: Council Chairperson

Signature.....

Name: GEMBO S. GEMBO

Position: Council Secretary

Signature.....

Name: LUSIMWA CHIBULA

Position: Director Finance



SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Lusangazi Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

(a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

(b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December 2022. The Council is preparing to adopt Accrual Basis IPSASs on 1st January 2028

(c) Treasury and Financial Management Circular No 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2022 up to 31st December 2025.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
- iv. That the Seven (7) years transition period provided under IPSAS 33 should commence on 1st January 2022 and should end on 31st December 2027. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Lusangazi Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue on.....^{4th Nov 2025}.....by the ordinary /special Council.

1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorised Lusangazi Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- the purchase or sale of a commodity within the area of the District.

b. Fees and Charges

Section 27 (1) of the Local Government Act No. 2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognised when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

The key management personnel of the Council are:

- (a) Chairperson, elected councillors, co-opted members of the Audit and Procurement Committees, chiefs who are part of the council representing other chiefs in the district, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Lusangazi Town Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Lusangazi Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year 31st December 2024, the Council generated local tax cash receipts as follows:

Local Tax Type	2024	2023
	Kwacha	Kwacha
Personal Levy	9,438	6,858
Total	9,438	6,858

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2024	2023
	Kwacha	Kwacha
Fees and charges	291,111	346,385
Land Development Charges	109,800	20,500
Total	400,911	366,885

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2024	2023
	Kwacha	Kwacha
Consent Fees	4,720	-
Survey Fees	-	1,870
Application Form Fees	80,855	13,310
Bus Station Fees	-	41,615
Affidavit Fees	-	1,225
Notice of Marriage	300	500
Registration of Clubs and Societies	42,842	57,500
Farm Produce Levy	-	104,686
Communication Mast Levy	40,000	65,000
Penalties	750	-
Other Fees and Charges/other income	121,644	60,679
Total	291,111	346,385

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges during the year ended 31st December 2024:

Charges Type	2024	2023
	Kwacha	Kwacha
Service charges - residential plots	69,600	6,500
Premium plots - Commercial	38,500	14,000
Other	1,700	-
Total	109,800	20,500

4. Licenses

A total of K15,750 cash receipts was raised from issuance of various licenses.

Licence Type	2024	2023
	Kwacha	Kwacha
Liquor licence	400	540
Firearm and ammunition licence	14,550	41,520
Other licences	800	-
Total	15,750	42,060

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2024	2023
	Kwacha	Kwacha
Livestock Levy	23,062	8,217
Charcoal Levy	2,017	1,765
Business Levy	52,415	83,242
Miscellaneous levies	30,619	17,248
Total	108,113	110,472

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2024	2023
	Kwacha	Kwacha
Health Permit	7,125	17,285
Herbalist permit	450	450
Fire Certificates	4,945	15,920
Extension of business hours permits	-	1,447
Transportation of Opaque	12,420	7,845
TOTAL	24,940	42,947

NOTES TO THE FINANCIAL STATEMENTS

7. Local Government Equalisation Fund

a. Funding

	2024	2023
	Kwacha	Kwacha
January	880,689	761,354
February	878,837	761,354
March	879,897	740,517
April	861,721	757,517
May	878,045	760,517
June	862,713	760,517
July	878,971	760,517
August	879,074	760,517
September	877,961	760,517
October	878,918	760,517
November	878,876	760,517
December	-	754,017
Total	9,635,700	9,098,382

a. Operational Expenditure

The Council applied amounts totalling K9,597,013 of LGEF receipts towards meeting Operational expenses representing 99.6% of the total LGEF funding for the reporting period.

b. Capital Expenditure

The Council applied amounts totalling K754,789 of LGEF receipts from the balance carried forward from 2023 towards meeting capital expenditure.

8. Constituency Development Fund

The Statement of Cash Receipts and Payments for CDF under the period reviewed shows an amount of K 12,303,899 having been received from the ministry of Local government and rural development.

a) CDF Funding

Funding	2024	2023
	Kwacha	Kwacha
Community Projects	12,303,899	14,279,546
Disaster Contingency	-	806,946
Empowerment Grants	-	2,151,857
Empowerment Loans (Revolving Fund)	-	3,227,785
Bursaries	-	5,379,641
Administrative Costs	-	1,415,695
Total	12,303,899	27,261,470

NOTES TO THE FINANCIAL STATEMENTS

b) **Loan Repayments**

During the year, Lusangazi Town Council did not receive funds from the Loan Repayments as there no loans processed by the close of the year.

	2024	2023
	Kwacha	Kwacha
Principal	341,691	-
Interest	49,234	-
Total	390,925	-

c) **Other Receipts**

During the year under review, the Lusangazi Town Council did receive other receipts as indicated below:

	2024	2023
	Kwacha	Kwacha
Interest Earned	567,205	178,884
Total	567,205	178,884

d) **Infrastructure Development**

Infrastructure Development includes payments made towards drilling and fully equipping new boreholes in the district.

Expenditure	2024	2023
	Kwacha	Kwacha
Construction of Primary Schools - certified works paid	7,852,868	4,040,303
Construction of Secondary schools - certified works paid	91,387	370,922
Construction of health facility certified works paid	346,869	519,958
Construction of Staff house - certified works paid	9,807	390,207
Drilling of boreholes - certified works paid	-	1,071,399
Construction of Ablution Blocks	162,742	200,762
Construction of water schemes - certified works paid	49,782	-
Other Construction Works	23,106	160,000
Total	8,536,560	6,753,552

e) **Rehabilitation Works and Upgrades**

Rehabilitation Works and Upgrades of Infrastructure Development includes payments made towards rehabilitation of boreholes in the district as well as some classrooms, Teacher's Houses and health facilities.

NOTES TO THE FINANCIAL STATEMENTS

Payments	2024	2023
	Kwacha	Kwacha
Rehabilitation of primary schools	1,196,548	556,554
Rehabilitation of secondary schools	8,800	-
Rehabilitation of Staff Houses	-	12,759
Rehabilitation of Health Facilities	35,026	-
Rehabilitation of 38 Boreholes	97,704	51,556
Total	1,338,078	620,868

f) Asset Acquisition

The Council used a total of K15,669,213 to acquire assets during the year under review.

Payments	2024	2023
	Kwacha	Kwacha
Equipment	-	178,500
Plant and Machinery	11,849,887	-
Any Other Community Projects	3,819,326	1,101,396
Total	15,669,213	1,279,896

g) Rural Electrification

There was no activity under Rural electrification

h) Social Benefits

The following payments were made during the year under review.

Payments	2024	2023
	Kwacha	Kwacha
Youth Empowerment grants	-	25,000
Women empowerment grants	-	54,000
Community empowerment grants	1,972,000	1,979,408
Total	1,972,000	2,058,408

i) Loans

The council distributed a total of K3,938,485 as soft loans to beneficiaries during the year under review as below:

NOTES TO THE FINANCIAL STATEMENTS

Payments	2024	2024
	Kwacha	Kwacha
Youth Empowerment loans	-	-
Women empowerment loans	-	-
Community empowerment loans	-	-
Small and Medium Enterprises (SMEs)	3,938,485	2,132,360
Total	3,938,485	2,132,360

j) SECONDARY BOARDING SCHOOLS AND SKILLS DEVELOPMENT BURSARIES

The council made payments as follows

Payments	2024	2023
	Kwacha	Kwacha
Skills Development	490,000	381,800
Secondary Boarding Schools	4,579,408	2,337,653
Total	5,069,408	2,719,453

k) Administrative Costs

Administrative and other costs included the following:

	2024	2023
	Kwacha	Kwacha
Supervision cost for civil works	-	31,244
Bank charges	215,710	69,366
Monitoring of civil works	-	6,930
Refreshments for Meetings	133,947	78,955
Stationary	184,219	77,078
Allowances	1,010,787	468,315
Transport	2,370	22,680
Fuel	387,933	234,705
Office equipment	315,047	127,749
Others	512,951	270,566
Total	2,762,964	1,387,586

l) Disaster Contingency

The Council did not make any payments towards the disaster during the year:

	2024	2023
	Kwacha	Kwacha
Others	267,576	583,112
Total	267,576	583,112

NOTES TO THE FINANCIAL STATEMENTS

9. Other Grants

During the year, the Council received the following grants:

	Note	2024	2023
		Kwacha	Kwacha
Grant in Lieu of Rates	a	-	200,000
Grants from Cooperating Partners	b	2,694,737	-
Other (Washfit and Sanitation Project)	c	496,685	-
Total		3,191,422	200,000

a) Grants in Lieu of Rates

During the period under review, no funding was received in form of Grants in Lieu of Rates.

b) Grants from Cooperating Partners (Zambia Devolution Support Programme)

Revenue Source	2024	2023
	Kwacha	Kwacha
Zambia Devolution support Grant	2,694,737	-
Total	2,694,737	-

c) Other Receipts

During the year, the Local Authority Received K496,685 for Washfit and Sanitation Project.

Revenue Source	2024	2023
	Kwacha	Kwacha
Washfit and sanitation project	496,685	-
Total	496,685	-

10. Borrowings

No Borrowing during the year under review.

11. Council Commercial Venture

No receipts and payments under Council Commercial ventures were incurred

12. Sector Grants (Devolved Functions)

The council received Grants totaling K13,059,034 in its bank accounts from the treasury for the Devolved functions of the Central Government broken down as follows;

NOTES TO THE FINANCIAL STATEMENTS

a. Funding

Grant Type	2024	2023
	Kwacha	Kwacha
Health Grant	1,299,949	-
Roads Funds	1,715,472	-
Sport Fund	215,517	-
Veterinary Grant	141,974	-
Education and skills	18,043	-
Total	3,390,955	

b. Other Receipts

Grant Type	2024	2023
	Kwacha	Kwacha
Cash for Work	9,668,079	-
Total	9,668,079	

c. Goods and Services for Devolved Functions

Expenditure	2024	2023
	Kwacha	Kwacha
Cash for Work	3,866,891	-
Health Grant	1,095,742	-
Sport Fund	177,336	-
Veterinary Grant	9,205	-
Total	5,149,175	

13. Other Receipts

The Council did receive amounts totalling to K150,036.00 in its various bank accounts that could be traced to the sources as below.

Other Receipts	2024	2023
	Kwacha	Kwacha
Drought response unicef	89,995	-
Hire of TLB	30,000	-
Hall hire and refreshments saipher meeting	7,644	-
Borehole Contributions	12,950	-
Others	9,447	41,048
CDF interest	-	178884
Total	150,036	219,932

Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

NOTES TO THE FINANCIAL STATEMENTS

Emoluments	2024	2023
	Kwacha	Kwacha
Salaries Division I	2,838,920	1,926,986
Salaries Division II	1,597,934	1,427,243
Salaries Division III	1,366,556	1,345,154
Salaries Division IV	1,002,150	890,397
Other Allowances	28,500	8,740
Statutory Contributions	1,000,458	644,608
Contributions to Trade Unions	<u>6,700</u>	<u>2,000</u>
Total	<u>7,841,218</u>	<u>6,245,127</u>

14. **Use of Goods and Services**

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2024	2023
	Kwacha	Kwacha
Office Running Costs	128,798	77,903
Building, Repair and Maintenance Costs	19,500	16,667
Plant, Machinery and Vehicle Running and Mai	1,277,263	265,687
Other Administrative operating costs	1,395,069	614,148
Requisites	341,226	3,400
Services	2,536,757	262,458
Travel expenses	2,476,710	538,068
Training	-	77,292
Constituency Development Fund Admin Cost	<u>2,762,964</u>	<u>1,387,586</u>
Total	<u>10,938,286</u>	<u>3,243,210</u>

15. **Financial Charges**

The Council did have a long-term liability during the year under review to pay financial charges.

16. **Social Benefits**

The Council did not incur any payments toward social benefits on death on duty, burial, and other benefits during the year 31st December 2024 apart from grants to various clubs and cooperatives under the Constituency Development Fund as shown below

NOTES TO THE FINANCIAL STATEMENTS

	2024	2023
Payments	Kwacha	Kwacha
Youth Empowerment grants	-	25,000
Women empowerment grants	-	54,000
Life and Business Skills Training	4,579,408	2,337,653
Secondary Boarding Bursary	490,000	381,800
Community empowerment grants	1,972,000	1,979,408
Total	7,041,408	4,777,861

17. **Non-financial Asset Acquisition**

Acquisition of assets involved the -following payments:

	2024	2023
	Kwacha	Kwacha
Building & Structures	739,866	566,657
Office Equipment	14,923	38,042
Other Assets-office furniture	-	74,752
CDF Community Projects (See note 8)	25,811,428	9,237,429
Procurement of Mzda Engine	-	283,507
Total	26,566,217	10,200,387

18. **Financial Assets**

The council distributed soft loans under the CDF empowerment schedule as financial assets during the year.

	2024	2023
	Kwacha	Kwacha
Soft Loans to Cooperatives/Clubs	3,938,485	2,132,360
Total	3,938,485	2,132,360

19. **Loan Repayments**

No Loan repayment occurred under the year being reviewed as council had no borrowings.

20. **Other Payments**

These relate to sundry items such as ...

	2024	2023
	Kwacha	Kwacha
Registration and participation fees	87,336	-
Domestic Creditors	30,000	39,000
Subscription	38,550	42,083
Total	155,886	81,083

NOTES TO THE FINANCIAL STATEMENTS

21. Foreign Exchange Losses

No transactions were made in other currencies and determined by reconciling opening cash to closing cash balances during the year 31st December 2024.

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2024	2023
	Kwacha	Kwacha
Cash on hand	-	-
Demand Deposits	15,831,864	32,455,993
Cash equivalents	-	-
Total	15,831,864	32,455,993

a. Cash on hand

There was no cash on demand made of cash collections and petty cash.

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2024:

Account Name	Account No	2024	2023
		Kwacha	Kwacha
District Revenue A/c	Zanaco -5664520300496	2,497	(3,897)
Salaries A/c	Zanaco-5664520300294	68,082	106,595
Capital Projects	Zanaco -5664520300295	2,368,070	1,952,518
District Fund A/c	Zanaco-5664520300193	897,555	28,545
Msanzala Constituency Development Fund A/C	ZANACO 5664520300803	34	135
Msanzala Constituency Development Fund A/C	INDO Zambia Bank	3,513,603	29,455,686
Msanzala Constituency Development Fund A/C	INDO Zambia Rev	500,341	850,314
Rural Water and Sanitation A/C	Zanaco-5664520300601	75,015	65,936
Service Charge A/C	Zanaco-5664203000702	121	162
Grants Sector account	Zanaco-5664520300904	8,406,544	-
Total		15,831,864	32,455,993

c. Cash Equivalents

The Council had no treasury bills valued under the year 31st December 2024.

NOTES TO THE FINANCIAL STATEMENTS

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on 22nd March 2024. There were no Subsequent approved adjustments to the budgets.

b. Budget Variances

• Local Taxes

The Council planned to raise K47,454 in Local Taxes but collected K9,438 representing 20% collection efficiency. This resulted in a variance of K38,017 representing 80%. The poor collection of property rates attributed to delays in showing would be developers of parcels of land.

• Fees and Charges

The Council budgeted to raise K904,925 on Fees and Charges but received K400,911 representing 44% collection efficiency. This resulted in a variance of K504,014 representing 56%. This was due to challenges in land issues which arose during the year under review which resulted in the council having challenges to collect plot premium fees.

• Licenses

The Council budgeted to raise K31,640 on Licenses but collected K15,750 representing 50% collection efficiency. This resulted in a variance of K 15,890 representing 50%. This was due to challenges in collecting fire ammunition as the council permanently shifted offices to Lusangazi District during the second half of the year.

• Levies

The Council budgeted to raise K204,857 on levies but received K108,113 representing 53% collection efficiency. This resulted in a variance of K96,744 representing 47%. This was due to underperformance in collection of Quarry Levy as a result of quarry company going on recess for a considerable during the period under review.

• Permits

The Council budgeted to raise K54,980 on Permits but received K24,980 representing 45% collection efficiency. This resulted in a variance of K 30,040 representing 55%. This was due to underperformance in collection of Health Permits as a result of inadequate sensitizations on the need for the general to adhere to health regulations.

• Constituency Development Fund

The Council budgeted to raise K 30,635,642 on Constituency Development Fund but received K12,303,899 representing 43% collection efficiency. This resulted in a variance of K 17,373,613 representing 57%. This was due to underfunding by the central government for the period under review.

• Other Grants

The Council budgeted to raise K4,120,000 on other grants but received K3,191,422 representing 77 % collection efficiency. This resulted in a positive variance of K928,578 representing 23%. This was due reduction of the Zambia Devolution Grant received.

NOTES TO THE FINANCIAL STATEMENTS

- **Sector Grants (Devolved Functions)**

The Council budgeted to raise K6,625,323.00 on Sector Grants but received K13,059,034 representing 197 % collection efficiency. This resulted in a variance of K 6,433,711 representing 97%. This was due to the Cash for work drought response plan put up by the central government.

- **Other Receipts**

The Council budgeted to raise K90,000 on other receipts but received K150,036 representing 167% collection efficiency. This resulted in a positive variance of K 60,036 representing 67%. This was due to funds received from hire of a TLB K30,000. And K89,000 received from UNICEF as part of the drought response plan in order to improve the supply of clean water through the rehabilitation of selected water points in health facilities.

- **Use of Goods and Services**

The Council budgeted to spend K9,120,385 on use of good and services but spent K10,938,286 representing a budget performance of 120%. This resulted in a variance of K1,817,901 representing 20%. This was due increase in machine operating costs as most assets required to be repaired from time due to wear and tear experienced during the period under review.

- **Other Payments**

The Council planned to spend K370,000 on other payments but spent K155,886.00 representing a budget performance of 42%. This resulted into a variance of K214,114 representing 58%. The above positive variance is attributed to inadequate funds to meet debt liquidation.

24. Provision of Services

The Council incurs expenditure of offering services; it is mandated to provide to the residents of the District.

Type of Services	2024 Kwacha	2023 Kwacha
Make Zambia Clean and Health Campaign	17,757	-
Roads and Drainages	3,000	-
Rehabilitation of primary schools	1,196,548	-
Rehabilitation of health posts	381,895	-
Procurement of Motor vehicle	-	358,491
Procurement of desks	3,819,326	-
Boreholes and Water reticulation	49,782	449,721
Other Services-Distribution of relief food	45,045	-
Total	5,513,353	808,212

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

NOTES TO THE FINANCIAL STATEMENTS

25. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K26,566,217 as at 31st December 2024.

	Land Kwacha	Land and Buildings Kwacha	Plant & Machinery Kwacha	Motor vehicles Kwacha	TOTAL Kwacha
Opening balance	-	9,718,291	1,671,595	991,998	12,381,884
Additions	-	10,897,004	3,819,326	11,849,887	26,566,217
Revaluation	-	-	-	-	-
Re-classification	-	-	-	-	-
Disposal	-	-	-	-	-
Closing balance	-	20,615,295	5,490,921	12,841,885	38,948,101

26. Investments in Other Entities

No investments in shares were held by the council during the period under review.

27. Administered Transactions

No collections were administered on behalf of Zambia Revenue Authority.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Lusangazi Town Council:

a. Fringe benefits Disclosures

The Chairman was provided with a personal-to-holder car, an office and personal secretary.

b. Remuneration of the Councilors

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Lusangazi Town Council are:

Aggregate Remuneration	K936,000
Number of persons	11

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K2,883,080.
Number of persons	12

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

There was no external assistance received during the year.

30. Third Party Payments

There were no third-party payments made during the year.